

AS BUSINESS - DAY 5

Product and price

The first half of the marketing mix

YOUR AIM TODAY

Connect product and pricing decisions to objectives and customers.

YOUR RULE

Read the notes twice. Use exact case facts. Every explanation must contain a because link and a therefore business impact. Keep page 4 closed.

Student: Rohan

Start time: _____ Finish time: _____

Date: _____

Knowledge and method

The marketing mix is a coordinated set of product, price, promotion and place decisions.

- Product includes design, quality, features, branding and packaging.
- A USP is a feature customers see as meaningfully different.
- Cost-plus pricing adds a markup to unit cost.
- Penetration pricing starts low to gain market share.
- Price skimming starts high for a distinctive new product.

MINI CASE

Nova Tutors launches an exam app with live feedback. Unit service cost is PKR 600 per student monthly. It considers PKR 900 cost-plus pricing or PKR 500 penetration pricing for the first three months.

WORKED CHAIN

PKR 500 penetration pricing may attract price-sensitive students quickly, increasing trial and market share. However, it is below the PKR 600 unit cost, so every user initially contributes a loss.

Knowledge, application and analysis

Use the mini case in Questions 3-6.

Question	Your answer
1. Define USP.	
2. Calculate markup percentage at a PKR 900 price on PKR 600 cost.	
3. Identify the penetration price.	
4. Explain one benefit of penetration pricing to Nova.	
5. Explain one risk of that price.	
6. Recommend a launch price with one condition.	

QUALITY CHECK

Circle every case fact. Underline every because link. Box every business impact.

Models and correction log

Wording may differ, but the knowledge and chains must be accurate.

Q	Answer / model points
1	A product feature or benefit perceived as different from competitors.
2	Markup= $300/600 \times 100=50\%$.
3	PKR 500.
4	A low price may encourage rapid trial and market share, useful for a new app needing users and reviews.
5	It is below unit cost, so rapid growth could increase losses and make a later price rise difficult.
6	PKR 900 is safer if live feedback is valued and demand is less price-sensitive; otherwise use a time-limited discount above cost.

Q	Missing layer	My improved sentence

SEND FOR MARKING

Send pages 3 and 4. Ask for a level, missing chains, and a rewritten model for the weakest response.